

Research Briefing | UK

Will the MPC cut fast or slow?

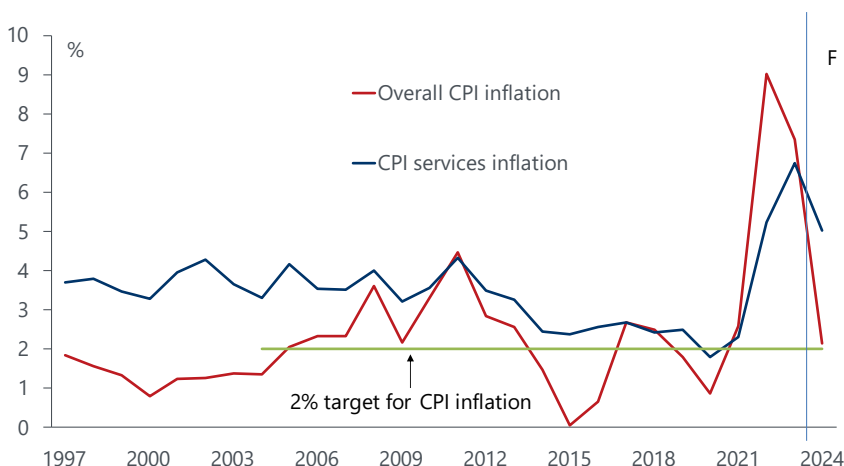
- **Inflation in the UK is set to return to the 2% target in the next quarter, much earlier than the Monetary Policy Committee expected. While this news is encouraging, the MPC's focus will be on whether conditions are in place for a sustained return of inflation to target. Here, the outlook is more uncertain.**
- **The rapid decline in UK inflation largely reflects the unwinding of high food, energy, and global goods prices, rather than a major slowdown in underlying domestic inflation pressures. Pay growth and services inflation are likely to slow a bit this year, but probably will stay well above rates consistent with sustained 2% inflation.**
- **Lower inflation and rising unemployment may reduce pay growth further, to a target-consistent pace of 3%-3.5% next year. This is our central forecast, but it's far from guaranteed. The rapid drop in inflation might help lower inflation expectations, helping to reduce pay growth. Conversely, low near-term inflation will also lift real economic growth (because it partly represents a positive supply shock), keeping the labour market relatively tight and supporting relatively high pay growth.**
- **Market pricing now implies 100bps-125bps of easing this year, close to our central forecast for 100bps of cuts. However, risks probably lie more on the side of slower rather than faster easing. Unless activity data are extremely weak, easing is likely to be gradual and in line with declines in pay growth and services inflation, rather than front-loaded in line with headline inflation.**

Market pricing for the path of Bank Rate has fallen dramatically in recent months. Having previously priced in an additional rise to 6%, markets are now pricing in sizeable easing, with Bank Rate falling by 100bps-125bps by end-2024 and to about 3.25% at end-2025.

However, while the sharp improvement in this year's inflation outlook is likely to allow the Monetary Policy Committee to cut rates, we expect it will focus on the medium-term drivers of inflation rather than just the headline rate. Here, we examine the key factors that are likely to shape the MPC's decisions on interest rates this year and next.

Chart 1: Reversal of previous adverse supply shocks will cut inflation back to target this year

CPI inflation and CPI services inflation (annual averages)



Sources: Oxford Economics/Haver Analytics

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Why the MPC is likely to cut rates this year

Recent MPC comments have given no hint that interest rate cuts will be on the agenda anytime soon.

[December's MPC statement](#) said "Monetary policy will need to be sufficiently restrictive for sufficiently long to return inflation to the 2% target sustainably in the medium term, in line with the Committee's remit. As illustrated by the November Monetary Policy Report projections, the Committee continues to judge that monetary policy is likely to need to be restrictive for an extended period of time."

This language is consistent with a "[Table Mountain](#)" approach, in which Bank Rate stays at the current high level for a long period. But we doubt it will prove an enduring obstacle to easing.

The MPC's relatively hawkish stance reflects its forecast of sticky inflation – for example, the November monetary policy report forecast that inflation will stay above the 2% target until Q4 2025. The Committee's tone is likely to change if, as seems likely, inflation continues to undershoot that forecast and returns to the 2% target much sooner than expected. Indeed, [we expect it will return to target in Q2 this year](#).

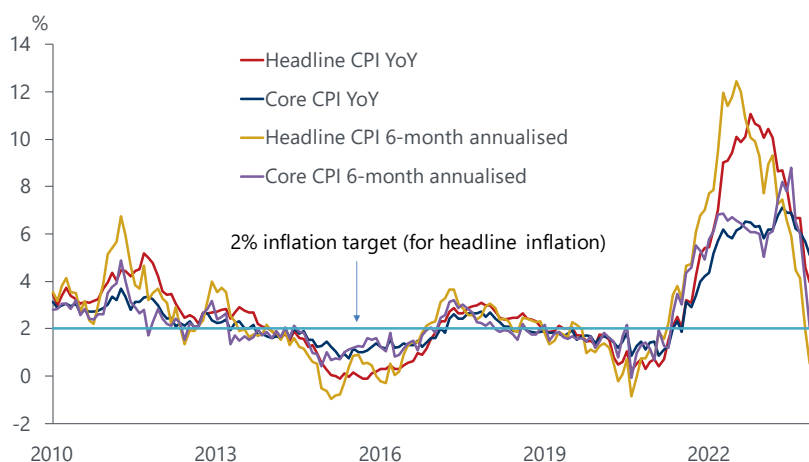
The surge in inflation owed a lot to adverse external supply shocks, which lifted food, energy, and traded goods prices, and caused CPI inflation to rise well above domestic cost growth (e.g., unit labour costs, services inflation). These external supply shocks are now unwinding rapidly, and inflation is set to fall well below domestic cost growth.

The direct effect of household energy prices on CPI inflation has already turned negative, and indirect effects are (with the usual lag) fading rapidly, and likely to turn negative in the next quarter or two. CPI food price inflation has slowed to 9% y/y from 20% in early 2023, and weakness in lead guides (e.g., input and output prices for food manufacturers, prices of imported foods) suggests that CPI food price inflation will slow to about zero late this year. Core goods prices remain up from a year ago, but in seasonally adjusted terms have fallen slightly in recent months. Given weakness in output prices, it wouldn't be a surprise if CPI core goods inflation turns negative later this year.

CPI inflation undershot the MPC's forecast significantly in Q3 last year and based on data for October and November seems likely to undershoot markedly in Q4. Although the y/y rates for headline (3.9%) and core inflation (5.1%) remain relatively high, the six-month annualised inflation rates (seasonally adjusted) are below 1% for headline inflation and around 2% for core. As large price increases from early 2023 drop out of the annual rate, CPI inflation is likely to return to the 2% target around April, roughly six quarters sooner than the November MPR forecast. CPI inflation is then likely to fall a little below target on average over the rest of this year.

Chart 2: The six-month annualised CPI inflation rate is already back to a target-consistent pace

Headline and core CPI inflation



Sources: Oxford Economics/Haver Analytics

In addition, [falling inflation in the eurozone](#) is likely to prompt the ECB to cut rates sharply this year – we expect 150bps of easing. Hence, if the MPC were to refrain from cutting, then the resulting large shift in

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UK-Euro interest differentials might cause sterling to appreciate significantly, hence producing additional imported disinflationary pressures.

Moreover, with [monetary policy lags longer](#) than they used to be, Bank Rate needs to fall significantly this year just to prevent monetary conditions from tightening further as households refix expiring fixed-rate mortgages. With the prevalence of five-year fixed rate mortgages, the average interest rate on the stock of mortgages has risen by only 130bps since November 2021, just before the first rate hike. This is only about one-third of the 380bp rise in the average interest rate on new mortgages. If Bank Rate – and hence new mortgage rates – are stable, then the average interest rate on the stock of mortgages is likely to rise steadily over the next three-four years as fixed-rate mortgages reset, implying a sizeable ongoing monetary tightening that will weigh on spending.

Combining these points, you could argue that the MPC's recent worries about inflation stickiness have been overdone. The Committee's recent forecasts probably exaggerated the extent to which the strong inflation readings of H1 2023 – when the effects from energy, food, and goods prices were very large – implied that overall inflation pressures were likely to be persistent. As a result, the MPC appears to have over-tightened and, as the evidence of lower inflation comes through, can reset policy to a less restrictive level.

The MPC's comments do not rule out easing

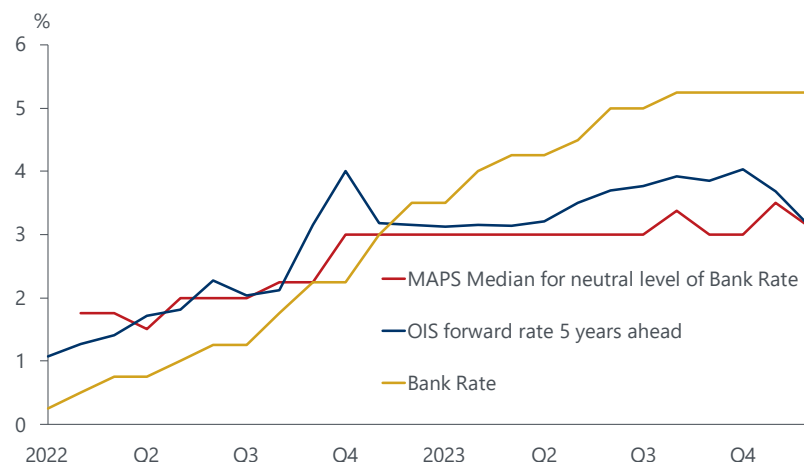
Despite its hawkish tone, the MPC's language may be more flexible than it first appears. Indeed, you could argue that current market pricing – which implies a sizeable drop in Bank Rate over this year and the next – is not really inconsistent with what the Committee said – or more precisely, what it didn't say.

The MPC's statement does not say that the current degree of policy restraint is likely to be needed for an extended period, merely that policy is likely to need to remain restrictive. And, with interest rates well above neutral, policy would still be restrictive even if Bank Rate fell somewhat. Estimates of the neutral level of rates are inherently uncertain, but in recent quarters the [BoE MAPS survey](#) suggests the consensus is that a neutral level for Bank Rate is 3%-3.5%. The five-year forward OIS rate, a guide to where markets expect Bank Rate to settle once near-term cyclical factors fade, is at a similar level.

At present, Bank Rate is roughly 200bps above that neutral level, a clearly restrictive stance. A 100bp cut in Bank Rate over the coming year (i.e., to 4.25%) would still leave it roughly 100bps above that estimate of neutral, and hence would still imply a restrictive policy stance (albeit less than now). Current market pricing implies that Bank Rate will only return to the MAPS estimate of neutral (3%-3.5%) late next year, a timeframe that would still qualify as "an extended period".

Chart 3: Monetary policy would still be restrictive even if Bank Rate were to fall 100bps

Bank Rate and guides to neutral level of rates



Sources: Oxford Economics/Haver Analytics

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Reasons why easing is likely to be gradual

Our base case is that the [MPC will cut rates by 100bp this year](#), with the first cut in May, which is fairly similar to market pricing. Of course, there are uncertainties around that. However, unless the economy goes into a significant recession, we suspect that (compared to market pricing) risks are tilted more towards slower rather than faster easing.

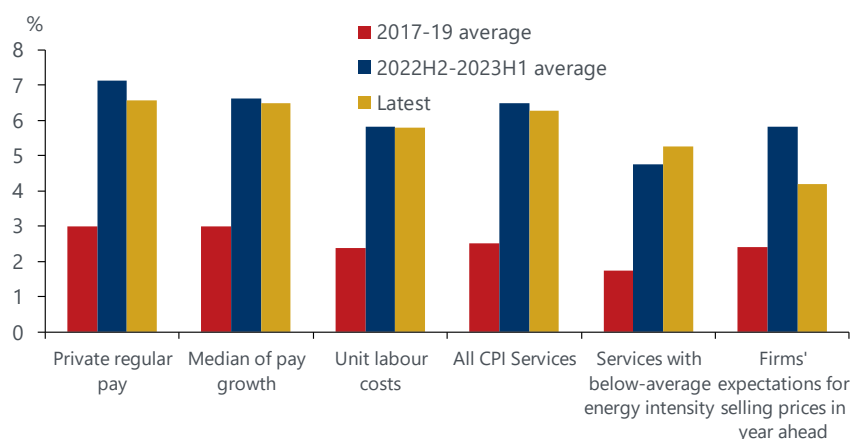
First, rather than simply following the near-term inflation outlook, the MPC's focus will be mainly on whether conditions for a sustained return to 2% inflation are in place. On this score, the evidence looks less reassuring, because of strong growth in pay and unit labour costs. The prospect that inflation will return to target sooner than expected does not necessarily signal that inflation will be sustainably back to target.

It was always likely that the adverse supply shocks from goods, energy, and food would eventually fade – and possibly reverse. But the second-round effects from that inflation surge on pay growth and firms' pricing strategies have not diminished much.

Private regular pay growth is 6%-7%, the median for recent pay settlements remains at 6% and unit labour cost growth is also around 6%. These growth rates are far above those consistent with a sustained return of inflation to the 2% target (3%-3.5% pay growth, 2%-2.5% unit labour cost growth). Likewise, the median for firms' expectations for the rise in their selling prices over the year ahead (4.4%) is still roughly twice the 2017-2019 average and roughly twice the inflation target. In the CPI, inflation for services items that are not energy-intensive (a proxy for underlying domestically-generated inflation) is 5.3% y/y, also far above the pre-pandemic pace.

Chart 4: Domestic cost growth remains well above a target-consistent pace

Measures of domestic cost growth



Sources: Oxford Economics / Haver Analytics

If the growth of pay and ULCs remains anything like the recent pace, then the prospective near-term return of inflation to target will prove to be transitory unless there are further repeated declines in external costs. High pay growth will support households' nominal incomes and spending, creating an easier environment for firms to pass on higher costs to prices. This, in turn, will make firms more willing to accept relatively high pay growth, and so forth.

For example, household wage and salary income rose 8.3% y/y in Q3 2023 and the ONS real time data for jobs and pay suggest continued high growth in Q4, far ahead of the pre-pandemic norm (about 4%). If nominal income growth remains strong while declines in food, energy, and goods prices cut inflation to 2%, then real wages will rise rapidly, creating stronger demand, which will underpin firms' willingness to maintain high pay growth. Eventually, persistent high ULC growth will drive inflation higher once the dampening effects of declines in food, energy, and goods prices fade.

The November MPR projected that private regular pay growth will slow from the very high pace of 2023 (over 6% in Q4) to a fairly high pace in 2024 (4.9% in Q4) and only return to a target-consistent pace in

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late-2025 (3.2% in Q4). That forecast was based on a relatively tight monetary policy stance, a significant rise in unemployment, as well as some dampening effect on inflation expectations from lower headline inflation. In the MPR forecast, that slowdown in pay growth helps keep inflation low two and three years ahead, even once the nearterm effects of weakness in food, energy and goods prices fades.

Since then, the [December BoE DMP survey](#) suggests that on average firms expect pay growth of about 5% for the year ahead. However, the [BoE agents](#) also reported that “the ripple effect of statutory or voluntary (Real Living Wage) increases in minima reach quite a way up the pay distribution”. That evidence is broadly consistent with the MPR forecast, but is also consistent with a scenario in which pay growth remains above a target-consistent pace next year. The MPC may just about tolerate 5% pay growth this year if it's confident that pay growth will slow further in 2025. But sustained 5% pay growth would not be consistent with the inflation target, given that trend productivity growth is 1% at best. Over the medium-term, 5% pay growth would probably leave inflation stuck at 3.5%-4%.

The likely near-term drop in inflation creates risks on both sides of the MPC forecast for pay growth. Certainly, the prospective faster drop in inflation may depress inflation expectations further during 2024, hence helping to slow pay growth. But given that the inflation undershoot reflects the faster unwinding of adverse supply shocks, it also will lift real incomes and spending above the MPC's forecast. The outlook for demand will be further underpinned if interest rates are below the path used for the MPR forecast. Hence, the improved growth outlook relative to the November MPR forecast probably will keep the labour market relatively tight – which could cause pay growth to remain above a target-consistent pace. That effect could be reinforced if, despite lower headline inflation, memories of the recent high inflation rates keep inflation expectations anchored at relatively high levels.

Moreover, recent maritime attacks on [commercial vessels in the Red Sea](#) have highlighted the risk that the drop in external costs – which is key to prospects for a rapid return of inflation to target – may not last. Average container prices have risen by about 100% over the last month, and [IMF research](#) suggests that when freight rates double, advanced economy inflation picks up by about 0.7ppts, with the peak effect after about a year. The persistence of the rise in freight costs is, of course, uncertain. But, with multiple possible sources of geo-political tensions, the MPC will probably be reluctant to rely heavily on weakness in external costs to keep inflation low if pay growth and services inflation remain relatively high.

In judging whether and how much to cut rates, the MPC will put considerable weight on pay growth, firms' expectations for selling prices, and less energy-intensive components of services inflation, rather than just the aggregate headline and core CPI measures. The MPC may be willing to cut rates a bit if, as seems likely, inflation falls to 2% during this year despite pay growth of 5% or so. But they would be unlikely to ease rapidly unless it's clear that pay growth is set to slow significantly further next year, and that this slowdown would still occur even with looser monetary policy. We doubt they will have such certainty.

The second argument for cautious easing is that fiscal drag probably will be smaller and more uncertain than implied by the last MPC forecast. By convention, the MPC's economic forecasts are based on the government's stated fiscal plans. In the November MPR, the latest fiscal plans (from the spring Budget) implied that the fiscal stance (the cyclically adjusted primary balance) would tighten markedly (by 1.6% of GDP) in 2024-2025 and tighten substantially further thereafter. The subsequent November Autumn Budget showed a similar path. Those plans, if delivered, would dampen growth and reinforce the case for lower interest rates.

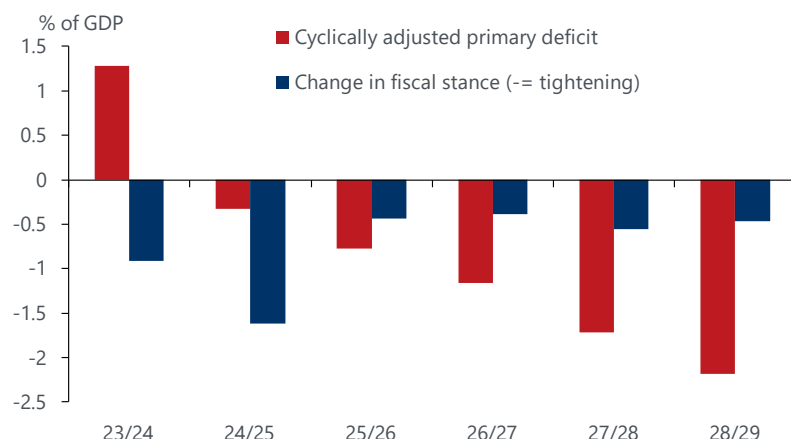
However, it now seems likely that in the March Budget, the government will reduce that planned tightening by scaling back the planned rise in the tax burden. This may well be accompanied by a downward revision to debt service costs, reflecting the lower yield curve, but the net effect would be to support growth.

As a result, a greater share of the projected future fiscal tightening will rely on large unspecified (and fairly implausible) post-election public spending cuts. The MPC will probably stick to its convention and base its forecasts on these fiscal plans. But there is no requirement for MPC members to base their policy votes on the government's fiscal plans, if they believe those plans lack credibility. In judging the appropriate monetary policy stance, it would be perfectly reasonable for MPC members to downplay the prospective post-election fiscal tightening until credible plans to deliver that tightening are in place.

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Chart 5: The March Budget is likely to reduce the heavy fiscal drag currently planned for 2024-2025

OBR forecasts for UK fiscal stance



Sources: Oxford Economics / Haver Analytics

The third argument for cautious easing is that the MPC will wish to underpin its anti-inflation credibility. During the early stages of the tightening cycle, UK long-term inflation expectations rose well above historic norms, implying some erosion of the MPC's anti-inflation credibility. Such high inflation expectations, if persistent, would make it much more painful to return inflation to target on a sustained basis. More recently, long-term inflation expectations have fallen back, perhaps reflecting tougher MPC rhetoric and a shift to a clearly restrictive stance. But they remain above pre-pandemic norms. The MPC will not wish to put that regained credibility at risk by appearing more dovish than expected.

Chart 6: Longer-term inflation expectations have fallen, but remain above pre-pandemic norms

Measures of longterm inflation expectations



Sources: Oxford Economics / Haver Analytics

The MPC is likely to drag its feet over easing

Overall, it seems likely that unless activity data are extremely weak, the MPC is more likely to drag its feet over easing and act slower than markets expect, rather than enthusiastically lead the way. Such a stance will help ensure that pay growth and services inflation slow enough to achieve a lasting return of inflation target, while also helping re-anchor inflation expectations at levels consistent with the target. In that way, cautious easing this year should leave the economy better placed for sustained growth subsequently.